INTERNAL COMMUNICATION
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Hilton

POLICY NUMBER: **FP-FIN-204**

GLOBAL UTILITY PURCHASING RISK MANAGEMENT POLICY

This policy establishes guidelines for defining, controlling, mitigating and reporting utility purchasing risk within Hilton. It defines appropriate procedures on how to assess, quantify and communicate Hilton's exposure to utility risk, defined as short-term variability in energy prices. It also establishes a framework to develop Area specific utility purchasing risk management policies and strategies.

POLICY STATEMENT

This Global Utility Purchasing Risk Management Policy ('GUPRM Policy') is to ensure a global approach is used to proactively purchase utilities, e.g., electricity and natural gas, which are essential requirements for hotel operations and all purchases of utilities are for use in the normal course of business. Each Operational Area will assess and manage utility risk using approved Maximum Forward Purchasing Limits and other policy parameters defined by this GUPRM Policy. Each Operational Area will have the flexibility to implement strategies and procedures that address their unique market and business conditions as long as these are compliant with this policy.

APPLICABILITY

The policy is for the representatives of each AUPC (Area Utility Procurement Committee), being from Hilton Supply Management (HSM) and Engineering Operations functions who are responsible for the coordination, implementation and reporting of utility risk management strategies and the results to applicable hotels and senior management. The Area Utility Risk Committee (AURC) members have approval and oversight authority.

An advisory document on Forward Purchasing strategy and recommended approval limits (Area Procurement Strategies documents) will be available for sharing with hotel General Managers.

EXCLUSIONS/EXCEPTIONS

1. This GUPRM Policy is applicable to owned, leased and managed hotels, however the managed ownership is required to approve the process. Approvals via legal letters are to be acquired and controlled by relevant Area Utility Procurement Committee (AUPC).
2. Utility contracts not under the direct control of Hilton, unless the hotel site management is involved in contracting.
3. The use of financial derivatives as risk management instruments is not permissible.

DEFINING GLOBAL UTILITY RISK (GUR)

Hilton is a net short buyer of utilities and all purchases of utilities are for use in the normal course of business. Hilton fulfills its utility requirements by entering into a variety of third-party supplier contracts, utility/government tariffs or contracts, and/or other contracts.

For the purposes of this policy, Global Utility Risk is primarily associated with contracts that can either vary, depending on market prices, and/or can be pro-actively locked-in at a Forward Price for a specified term.

For the purposes of this policy, the total utility spend is the sum of Regulated spend plus Deregulated spend. Hilton will manage the total Deregulated spend (commodity pricing), within the defined Maximum Forward Purchasing Limits within each procurement destination and a multi-year approach framework. Any changes to the Maximum Forward Purchasing Limits will have to collectively be approved by the delegated representatives of the AURCs from Americas, APAC and EMEA before being updated in this GUPRM Policy.

Global Policy Maximum Forward Purchasing Limits Framework.

These limits apply to purchasing destinations.

Period	Americas		EMEA		APAC	
	Fixed	Flex	Fixed	Flex	Fixed	Flex
Month	Manager	Manager	Manager	Manager	Manager	Manager
Quarter	VP Ops	VP Ops	Dir Engineering, VP Ops/VP Finance	Dir Engineering, VP Ops/VP Finance	VP Ops	VP Ops
Season	VP Ops	VP Ops	Dir Engineering, VP Ops/VP Finance	Dir Engineering, VP Ops/VP Finance	VP Ops	VP Ops
Current year	VP Ops	VP Ops	Dir Engineering, VP Ops/VP Finance	Dir Engineering, VP Ops/VP Finance	VP Ops	VP Ops
Year + 1	VP Ops	VP Ops	Dir Engineering, VP Ops/VP Finance	Dir Engineering, VP Ops/VP Finance	VP Ops	VP Ops
Year + 2	VP Ops	≤ 75% VP Ops	Dir Engineering, VP Ops/VP Finance	≤ 75% Dir Engineering, VP Ops/VP Finance	VP Ops	≤ 75% VP Ops
Year + 3	SVP Ops or relevant finance policy	≤ 50% VP Ops	SVP Ops/SVP Finance	≤ 50% Dir Engineering, VP Ops/VP Finance	SVP Ops	≤ 50% VP Ops
Year + 4	SVP Ops	≤ 25% VP Ops	SVP Ops/SVP Finance	≤ 25% Dir Engineering, VP Ops/VP Finance	SVP Ops	≤ 25% VP Ops
Year + 5	SVP Ops	SVP Ops	SVP Ops/SVP Finance	SVP Ops/SVP Finance	SVP Ops	SVP Ops
Year +5 to +15	EVP Ops	EVP Ops	EVP Ops/SVP Finance	EVP Ops/SVP Finance	EVP Ops	EVP Ops

DECISION MAKING PROCESS

The use of new risk management instruments, the addition of new products to the utility definition, and/or deviation from this policy, requires in all cases the involvement and written approval of the delegated representatives of the AURCs from Americas, APAC and EMEA.

The delegated representatives of the AURCs must approve any deviations from the GUPRM Policy and agreed purchasing framework.

The AURC must approve all applicable utility risk management strategies.

Upon approval to implement the purchasing strategy, the AUPC shall monitor and revise as necessary target prices and communicate adjustments to the AURC.

All Hilton owned and leased hotels are required to utilize the Normal Purchases and Sales Scope Exemption checklist provided in Table 2 for each executed utility contract to identify any possible derivative transactions. A copy of the checklist must be kept for the duration for each contract entered into.

See Roles and Responsibilities section for additional details. Upon defining a need for a project or unbudgeted expense, the business owner should work with a Financial Owner with the appropriate approval authority (See “Global Policy Maximum Forward Purchasing Limits Framework” above or relevant “Hotel Contract Execution and Spending Policy”) to review the business case.

MANAGING UTILITY PURCHASING RISK MANAGEMENT

The AUPC is responsible for obtaining utility market intelligence, building all financial models, reporting risk, highlighting any risk non-compliance issues, providing prudent recommendations and/or purchasing ideas to the AURC.
Relevant risk management know-how is required at all team member levels involved in the process.

MEASURING / REPORTING UTILITY PURCHASING RISK MANAGEMENT

Utility purchasing performance is measured against market, previous year’s performance, budget, and against any other matrices that may be requested by the AURCs.

Report outputs may include any and/or all the following:

- Performance Report (Purchasing Ratio)
- Performance against budget
- Performance against risk limits
- Performance against the market
- Performance against the previous period
- Contract type
- Contract term
- Credit exposure by counterparty

Updated reports will be provided to the AURCs on a quarterly basis.

ADDITIONAL BUSINESS REQUIREMENTS

Hilton Normal Purchases and Sales Scope Exception Checklist – Evaluation of Accounting for Utility Purchasing Contracts

If the answer to any of these questions is “no”, please email a copy of the contract and this checklist to Technical_Accounting@hilton.com for evaluation of the accounting impact of the contract.

	Yes	No
Is physical delivery of a utility required by the contract at the hotel location?		
If the contract is for a fixed quantity of utility units, is the quantity of that utility no greater than what is expected to be used?		
If the contract provides either party with an option, but not a requirement, to adjust the quantity of utility and any adjustments to the quantity are not at market prices on the date of delivery, is the option structured such that any additional volume is based on the business’s needs or requirements (e.g., the entity may purchase up to an additional 100,000 kWh based on its business needs or requirements)?		
Does the contract contain only usual price adjustment features such as CPI or RPI, or energy inputs such as coal/natural gas?		
Is the contract priced in customary utility units of measure? (e.g. kWh, MMBtu, therms)		
Is the contract denominated in the currency the hotel does business in?		

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES	LOCATION
HWI-HSM-002 “Purchasing Policy – Goods and Services”	**Purchasing Policy**
FP-OPSFIN-146 “Hotel Contract Execution and Spending Policy”	**Hotel Contract Execution and Spending Policy**
HWI-FIN-106 “Corporate Spending and Contract Execution Policy”	**Corporate Spending and Contract Execution Policy**

TOOLS / TEMPLATES	LOCATION
Utility Risk Procedure – Americas	Available from HSM Americas Owner
Area Utility Procurement and Risk Management Policy (EMEA)	Available from Engineering_Operations_EMEA@Hilton.com
Procurement Strategies EMEA	Available from Engineering_Operations_EMEA@Hilton.com
Procurement Strategies APAC	Available from HSM APAC Owner

DEFINITIONS

TERM / ACRONYM	DEFINITION
Utility	For the purposes of this policy, a Utility shall be defined as electric, natural gas, steam, chilled water, propane, diesel oil, Light Fuel Oil (LFO) and LPG, also referred to as a utility.
Purchasing Destination	A property, city or a country where a number of individual properties can be combined to a single tender to achieve economies of scale.
Purchasing Ratio	Volume purchased at a Fixed Price divided by total volume, in terms of percentage.
Regulated Market	Characterized with Tariff Pricing.
Tariff Pricing	Price is set by a national, state or private utility. Rate changes are subject to approval of a governing body and can be scheduled or ad hoc.
Deregulated Market	Characterized with Fixed Pricing, Variable Pricing and Hybrid Pricing.
Fixed Pricing	Locking in unit pricing over a period of time. Applies to transmission and /or commodity pricing, which may be fixed at different times.
Variable Pricing	Ties rate (price) changes to a market index.
Hybrid Pricing	Combines elements of Fixed and Variable Pricing with either percentage or block quantity set at a Fixed Price.
Forward Price	Market price for delivery at a fixed date in the future.
Spot Price	Market price for on the spot (e.g. daily, monthly) delivery.
Forward Price Curve	Current market prices for delivery dates.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Area Utility Risk Committee: **•Area President (chair)** **•SVP Ops Finance** **•SVP Ops** **•VP HSM** **•VP/Sr. Dir. Eng. Ops** **•Dir. Energy (HSM/Eng. Ops)**	• Limiting Area risk from utility price volatility. • Sets framework, policy and limits for Area utility purchasing. • Reviews utility risk exposures and market conditions. • Approves tactical decisions (e.g., market price targets). • Approves Area policy exceptions. • Appoints and authorises AUPC members. • Meet semi-annually or as required to review strategy, market developments, exposures and program effectiveness and give direction to the Area Utility Purchasing Committee; a quorum of three senior level members required with delegation permissible. • A representation of AURCs delegates from each Area authorizes the use of new risk management products and instruments.

	• A representation of AURCs delegates from each Area approves each new product added to the utility definition. • A representation of AURCs delegates from each Area defines financial authority levels for purchasing sign-off. • A representation of AURCs delegates from each Area defines approval process for different contract values
Area Utility Purchasing Committee: **•VP/Sr. Dir. Eng. Ops** **•Dir. Energy (HSM/Eng. Ops)** **•Snr Manager Energy**	• Limiting Area risk from utility price volatility. • Monitors and analyzes utility market information. • Manages third-party energy consultants/brokers. • Obtains legal approvals, as required, for each contract. • Reports to the AURC on results and effectiveness. • Seeks AURC approval on tactics (e.g., market price targets). • Requests changes in limits, if appropriate, via AURC. • Enforces all policy controls, including no speculation.
Technical Accounting	• Evaluates the accounting impact of utility contracts.